Cash discount performance report

Reporting period: 1 January 2024 - 31 December 2024

Currency: EUR

All durations in this report use calendar days (including weekends).

1. Where the discount went

In the reporting period, 16 invoices were eligible for a cash discount. Three took the discount, one was set aside under your exclusion rules, and twelve lost discount opportunity (leakage).

Stage	Invoices	Amount (EUR)	Share of opportunity
Discount opportunity (eligible)	16	355.21	100%
Discount taken	3	135.01	38%
Set aside (excluded)	1	30.00	8%
Lost (leakage)	12	190.20	54%

Leakage rate: EUR 190.20 lost / EUR 355.21 opportunity = 53.5%.

2. Where the EUR 190.20 was lost

Reason	Invoices	Lost discount (EUR)
Timing (detail in section 5)	**6**	**95.80**
Paid in time but discount not captured	**2**	**28.40**
Terms vs operational capability	**1**	**20.00**
Data quality	**1**	**18.00**
Too little time at intake	**1**	**16.00**
Compressed intake window	**1**	**12.00**

Total lost: EUR 190.20 across 12 invoices.

4. What to change next period (excluding timing)

- Paid in time but discount not captured (EUR 28.40): Propose and schedule payment while the discount is still open; confirm discount is posted when paying in window.

- Terms vs capability (EUR 20.00): Align payment terms with how fast you can pay. Start with: Acme Supplies GmbH.

- Data quality (EUR 18.00): Fix missing receipt or linkage on SAP-only intake. Start with: FastPay Services Ltd.

- Too little time at intake (EUR 16.00): Shorten receipt-to-ready time. Start with: Global Parts AG.

- Compressed intake (EUR 12.00): Expedite when few days remain at intake. Start with: Nordic Logistics AB.

5. Timing loss (EUR 95.80)

This section splits timing-related loss across process steps. Amounts show how lost discount is attributed across days in each step; they sum to EUR 95.80 and are for prioritisation, not a recovery forecast.

5.1 Before SAP posting vs payment

Part of the process	Timing loss (EUR)
Before invoice is posted in SAP	**49.00**
Payment (after posting)	**46.80**

Payment stage: 3 invoices, EUR 46.80 in total, 39 calendar days after the discount deadline in aggregate.

5.2 Before posting - where to focus

Steps are ordered by share of timing loss. Focus on the largest amounts first.

- Interface / handoff to SAP: largest share for several suppliers - shorten the gap between approval in Coupa and posting in SAP.

- Verification - invoice on hold (EUR 20.00): release holds that are not required. Supplier: Acme Supplies GmbH.

- Verification - open dispute (EUR 16.00): resolve disputes faster. Supplier: Global Parts AG.

- Precision Tools SA (EUR 13.00): most of this loss sits in interface delay (approved 24 Sep 2024, posted in SAP 8 Oct 2024). Prioritise faster handoff to SAP; also record rejection reasons when invoices are sent back (short rework cycle).

Where no specific blocker is recorded in verification or approval, treat the gap as needing better labelling or investigation, not as proof of normal processing.

5.3 Payment - after the discount deadline

What we saw	Amount (EUR)	Priority
Waiting to clear after the deadline	**37.80**	**Focus first**
Payment blocked in SAP during the window	**9.00**	**Monitor**

Waiting to clear (EUR 37.80): spread across:
1. Nordic Logistics AB (EUR 17.80)
2. FastPay Services Ltd (EUR 20.00)
No single supplier dominates - improve both payment paths.

Payment block (EUR 9.00): FastPay Services Ltd - release blocks during the discount window or document a decision to forgo discount.

6. Reference (not counted as leakage)

Discount taken: 3 invoices, EUR 135.01 posted as cash discount.

Set aside: 1 invoice, EUR 30.00 opportunity excluded at payment (your rules at clearing).

7. Action checklist for next period

Amounts are lost discount in this period - use them to prioritise change, not as a savings guarantee.

Area	Do next period	EUR	Start with
Data quality	*Fix receipt/linkage on SAP-only intake*	*18.00*	*FastPay Services Ltd*
Terms	*Align terms with pay cycles*	*20.00*	*Acme Supplies GmbH*
Intake	*Shorten receipt-to-ready time*	*16.00*	*Global Parts AG*
Intake	*Expedite when few days at intake*	*12.00*	*Nordic Logistics AB*

Area	Do next period	EUR	Start with
Timing - before posting	*Cut interface delay; resolve disputes and holds*	*49.00*	*1. Acme Supplies GmbH* *2. Global Parts AG* *3. Precision Tools SA*
Timing - payment	*Pay while discount open; clear blocks in window*	*46.80*	*1. Nordic Logistics AB* *2. FastPay Services Ltd*
Capture	*Pay in window with discount taken*	*28.40*	*1. Budget Office BV* *2. Precision Tools SA*

Timing actions by process order (EUR 95.80)

Use this order for workshops; amounts follow the split in section 5.

Step	Do next period
Intake	Reduce delay before verification starts
Interface	Post to SAP soon after approval - top priority for Precision Tools SA
Verification	Release holds; resolve disputes quickly
Approval	Investigate unlabelled waiting time; record rejection reasons
Payment - after deadline	Schedule payment before deadline where possible; reduce days waiting to clear
Payment - block	Release SAP payment blocks during the discount window